

## PROPERTY ASSET MANAGEMENT AGREEMENT

The ("Agreement") is made and entered into this \_\_\_\_\_ by and between \_\_\_\_\_, (hereinafter referred to as \_\_\_\_\_) whose principal business address is \_\_\_\_\_, and \_\_\_\_\_ (hereinafter referred to as "Owner"), whose business address is \_\_\_\_\_

Owner is a/n (check one): Individual ☐ Ltd. Partnership ☐ Corporation ☐  
Trust ☐ Limited Liability Company ☐ Owner's Federal ID # \_\_\_\_\_

### RECITALS

A. Owner has a \_\_\_\_\_ unit apartment community known as \_\_\_\_\_ located at \_\_\_\_\_, \_\_\_\_\_ which it intends to operate and maintain for rental purposes. The apartment units and the real property upon which these units are located, together with all appurtenances, fixtures, and equipment (and all rights pertaining to the foregoing) are collectively called the "Property."

Owner desires to employ \_\_\_\_\_ as its exclusive asset manager to oversee the management, rental operations, and on-site operations of the Property upon the terms and conditions set forth below.

For good and valuable consideration, Owner and \_\_\_\_\_ agree as follows:

### AGREEMENTS

1. Appointment of YOUR MANAGMENT COMPANY NAME. Owner hereby appoints YOUR MANAGMENT COMPANY NAME as Owner's exclusive asset manager to oversee the management, rental operations, and on-site operations of the Property for the account of Owner during the term of this Agreement and upon the terms and conditions contained in this asset management agreement.

2. Responsibilities and Rights of YOUR MANAGMENT COMPANY NAME. YOUR MANAGMENT COMPANY NAME shall use reasonable efforts to do the following:

- (a) Maximize occupancy at the site by overseeing third party management company who will take into account current market conditions by using reasonable efforts to lease apartment unit(s) pursuant to the terms and conditions set forth in the standard form rental agreement;
- (b) Oversee collection and enforcement of the on-site collection of security deposits, rental payments, and other charges arising from tenant occupancy, with third party management to deposit said funds in the Project's account in accordance with state law. Any interest earned on said funds belong to the Property.
- (c) Oversee and/or directly advertise and promote the rental of apartment units at the Project in a reasonable manner;

- (d) Oversee the performance of the applicable services related to the rental operation, and/or management of the Property;
- (e) Oversee the records of all funds received and disbursed in connection with the management of the Project;
- (f) After deducting all operating expenses (including management fees and other amounts owed to YOUR MANAGMENT COMPANY NAME) and operating reserves, the net amount of all funds actually collected from the Property and including any interest income accrued on Property funds, may be remitted by the 30th day of the following month to Owner at the address specified herein or as Owner may otherwise direct in writing.
- (g) Cooperate with and assist appraisers or counsel retained by Owner to evaluate the Project; and
- (h) Approve annual operating budget on behalf of Ownership

For the purposes of this Agreement, “reasonable efforts” shall mean that standard of performance customarily and reasonably performed by asset management or agents in the same or similar location for similar properties or as required by applicable law.

3. Responsibilities and Agreements of Owner. Without limiting the generality of any agreements, duties, or obligations of Owner contained elsewhere in this Agreement and in consideration of the asset management services to be rendered by YOUR MANAGMENT COMPANY NAME under this Agreement, Owner agrees as follows:

- (a) Owner shall promptly furnish YOUR MANAGMENT COMPANY NAME with all documents and records required for overseeing the management of the Property.
- (b) Owner shall pay all asset management fees in the amount and manner set forth in Paragraph 20 of this Agreement.
- (c) YOUR MANAGMENT COMPANY NAME shall have the right to make or approve all payments for all obligations and operating expenses actually incurred pursuant to a budget in the management and operation of the Project. During the term of this Agreement, owner agrees that, provided YOUR MANAGMENT COMPANY NAME acts within the scope of its duties, YOUR MANAGMENT COMPANY NAME shall have present, actual authority to act on behalf of Owner.
- (d) Owner gives YOUR MANAGMENT COMPANY NAME authority to hire and/or terminate third party management company with or without cause. Owner further agrees YOUR MANAGMENT COMPANY NAME may, at its discretion assume property management of the project.
- (e) YOUR MANAGMENT COMPANY NAME shall have the authority to draw on the Project Account for any payments which YOUR MANAGMENT COMPANY NAME may make to discharge any liabilities or obligations incurred pursuant to this Agreement.
- (f) Where legal assistance is needed for matters, YOUR MANAGMENT COMPANY NAME shall have the right to obtain legal assistance through counsel designated by YOUR MANAGMENT COMPANY NAME. All reasonable

landlord/tenant and other site-related legal fees and expenses shall be paid from the Project Trust Account.

4. Mortgage Payments. If directed to do so by Owner in writing and only to the extent sufficient funds (including operating reserves) are available in the Project Trust Account, YOUR MANAGMENT COMPANY NAME shall make all payments due under applicable mortgages, land contracts, deeds of trust, and/or improvements districts for the Project. In instances where gross revenue collections from the Project are projected to be insufficient or will not be received in time to enable YOUR MANAGMENT COMPANY NAME to pay all obligations in a timely manner, Owner shall promptly provide YOUR MANAGMENT COMPANY NAME with the necessary funds after notification by YOUR MANAGMENT COMPANY NAME or the mortgage payment will not be made in a timely manner.

5. Insurance. Without limiting the provisions elsewhere in this Agreement, the following shall apply to all insurance.

- (a) At Owner's request, YOUR MANAGMENT COMPANY NAME, for Owner's benefit and at Owner's expense, shall use reasonable efforts to acquire and maintain insurance of the types and coverages selected by the Owner. YOUR MANAGMENT COMPANY NAME is not an insurance broker and shall only act as an intermediary to facilitate the placement of insurance coverages on behalf of the property. It is solely Owner's obligation to define amounts and limits of coverage for the property, and to ensure conformity with the requirements of any deeds of trust, land contracts, mortgages, or other liens on the project. As such, YOUR MANAGMENT COMPANY NAME shall not be liable to Owner for any issues that arise from this intermediary work, and all of YOUR MANAGMENT COMPANY NAME's activities in this regard shall be subject to the indemnification provisions of Paragraph 32 of this Agreement.
- (b) YOUR MANAGMENT COMPANY NAME shall cause all insurance contracts for the property that are obtained or arranged by employees (as additional insured) as well as Owner and any other insurable parties specified by Owner in writing. YOUR MANAGMENT COMPANY NAME shall not be liable to Owner for any loss or damage in the event the insurance obtained and kept in force by YOUR MANAGMENT COMPANY NAME is insufficient to cover any loss or damage sustained by Owner. YOUR MANAGMENT COMPANY NAME shall: (i) promptly investigate all accidents and claims for damages relating to the Ownership, operation, and destruction to the property; (ii) investigate any damage or destruction to the Project; (iii) cause estimates for the cost of repairs to be made by appropriate vendors or contractors, and (iv) prepare any and all reports required of YOUR MANAGMENT COMPANY NAME by any major casualty, loss, or damage, YOUR MANAGMENT COMPANY NAME shall immediately notify Owner of the occurrence of these events. A "major" casualty, loss, or damage is defined to mean a loss exceeding \$5,000 in potential liability, i.e., estimated by YOUR MANAGMENT COMPANY NAME in its reasonable discretion. YOUR MANAGMENT COMPANY NAME shall not be authorized to settle any major claim unless the terms of such settlement are specifically consented to by the Owner.

- (c) Owner shall carry general liability insurance including bodily injury, property damage, and personal injury at limits of not less than \$1,000,000 per occurrence and \$2,000,000 general aggregate.
- (d) Owner agrees that, at all times during this Agreement, all liability, bodily injury, property damage, and personal injury insurance carried by Owner on the property shall, without cost to YOUR MANAGMENT COMPANY NAME, extend to insure and indemnify YOUR MANAGMENT COMPANY NAME, its principals and employees, as well as Owner, by endorsement of the insurance coverage to specifically name YOUR MANAGMENT COMPANY NAME, its principals and employees, as additional insured. All policies must provide that YOUR MANAGMENT COMPANY NAME will be given not less than thirty (30) days prior written notice before the coverage under the policy is terminated, modified, or amended in any way. Owner shall promptly furnish satisfactory evidence of these policies and endorsements to YOUR MANAGMENT COMPANY NAME.
- (e) YOUR MANAGMENT COMPANY NAME, at Owner's expense, shall carry workmen's compensation and employer's liability insurance for its employees at the Project at limits no less than statutory requirements set by law.

6. Bank Accounts. YOUR MANAGMENT COMPANY NAME is authorized to establish one or more operating trust accounts for the property. Operating trust accounts are hereinafter referred to as "trust accounts". YOUR MANAGMENT COMPANY NAME shall deposit into the trust accounts all funds. All trust accounts shall be operated in conformance with applicable State law. YOUR MANAGMENT COMPANY NAME shall designate one or more individuals who shall be the only parties authorized to draw upon such accounts. Amounts deposited in any trust accounts established at such banks or other institutions shall be insured by the federal government. All such depository banks shall be selected by YOUR MANAGMENT COMPANY NAME and shall be satisfactory to Owner. YOUR MANAGMENT COMPANY NAME shall not be liable to Owner in the event of bankruptcy or failure of a depository institution. Owner authorizes YOUR MANAGMENT COMPANY NAME to transfer monies from Trust account per the terms contained in this agreement or the written or verbal instructions of the Owner. If the operating trust accounts are interest bearing all interest shall accrue for the benefit of the Owner.

7. Operating Reserve. Owner shall at all times maintain sufficient funds in the Project Account to pay for budgeted Project expenses and any emergency Project expenses as they arise, but in no case shall the Account balance be less than \_\_\_\_\_. If the Account balance drops below this amount or if YOUR MANAGMENT COMPANY NAME projects that it will drop below this amount, Owner agrees to provide the necessary funds to bring the account up to the required level in a timely manner, but in no case more than 10 calendar days from the date the notice is received by the Owner.

8. Resident Security Deposits. To the extent that Owner or state law requires a segregated security deposit account and YOUR MANAGMENT COMPANY NAME has been given funds representing resident security deposits at the inception of this agreement, and as new security deposits are received from new residents, YOUR MANAGMENT COMPANY NAME will account for these funds on a monthly basis. The monthly security deposit summary will

show all existing security deposit obligations of the Owner, new security deposits received during the month, and security deposits returned to residents who have moved out and amounts of those returned for the benefit of the Owner due to damage or other obligations of the resident. To the extent there are insufficient funds in the security deposit account with regard to the Property's total security deposit liability; Owner agrees to solely be responsible for this obligation. If required by applicable state law, Owner will provide YOUR MANAGMENT COMPANY NAME with the necessary funds so that the amount in security deposit account will equal the total security deposit liability of the Property. For purposes of this paragraph, security deposits shall also mean pet deposits or any other deposits held on behalf of a resident of the Property.

9. Repairs and Maintenance. YOUR MANAGMENT COMPANY NAME shall have the right to cause to be made on behalf of Owner and at Owner's expense all ordinary and customary repairs, replacements, maintenance, improvements, redecorations, or modifications of the physical structure or grounds of the Project, as it reasonably deems to be necessary or advisable. YOUR MANAGMENT COMPANY NAME is further authorized to lease, rent, purchase, or acquire any supplies, materials, equipment, vehicles, or furnishings as are required to carry out these purposes on behalf of the Property and Owner, before any outside maintenance or repair contracts are approved, the Owner will be provided with a minimum of three bids. YOUR MANAGMENT COMPANY NAME agrees to notify Owner prior to incurring individual expenses in excess of Five Thousand Dollars (\$5,000) unless it is in an approved budget or it represents a health or safety emergency or in the case of any other emergency. YOUR MANAGMENT COMPANY NAME shall not be responsible for any damage done to the Property by any tenant, guest, invites, or other cause, but will pursue payment by any tenant or guest who is responsible for said damage.

10. Utilities and Services. YOUR MANAGMENT COMPANY NAME is authorized in Owner's name or the Property's name, to negotiate and execute contracts for gas, electricity, water, sewer, telephone, janitor, apartment cleaning and painting, carpet, shampooing, vermin or insect extermination, rubbish hauling, grounds keeping, and any other services as are usually or customarily furnished or rendered in connection with the rental of similar projects. In addition, at the Owner's expense, YOUR MANAGMENT COMPANY NAME is authorized to contract for the operation, maintenance, and repair of all fixtures, facilities, equipment and machinery which are part of the Project, including any facilities through which utilities are furnished to the Owner. Owner agrees to pay all deposits/bonds required for the Property's operation unless approved by Owner. YOUR MANAGMENT COMPANY NAME shall not enter into any contract or other agreement in connection with the management, operation, or maintenance of the Property exceeding one year in duration.

11. Employees. YOUR MANAGMENT COMPANY NAME under its names, but at Owner's expense, will oversee employment and discharge of all on-site administrative, accounting, rental office, maintenance, and/or grounds personnel and all independent contractors (collectively hereinafter called "employees") as it deems reasonably necessary for the operation and maintenance of the Project. YOUR MANAGMENT COMPANY NAME shall over see preparation, execution, and filing of all forms, reports, and returns required by law relating to the employees. YOUR MANAGMENT COMPANY NAME agrees to hold Owner harmless from all claims for penalties, interest or costs assessed under law for failure to perform the aforesaid

responsibilities. The Owner shall reimburse YOUR MANAGMENT COMPANY NAME immediately for all payroll and associated costs with regard to those employees working at the Project. If the project insurance policy does not include an employee fidelity bond, then a blanket employee fidelity bond will be obtained to cover YOUR MANAGMENT COMPANY NAME employees at the Project, in the minimum amount of \$250,000, the cost of which shall be paid from the Project Trust Account.

12. Discounts, Commissions, or Rebates. YOUR MANAGMENT COMPANY NAME shall use reasonable best efforts to secure for and credit to Owner all discounts, commissions or rebates obtainable as a result of its activities under this Agreement. Neither YOUR MANAGMENT COMPANY NAME nor any affiliate of YOUR MANAGMENT COMPANY NAME shall receive, directly or indirectly, any income, profit or compensation other than that to be paid by Owner to YOUR MANAGMENT COMPANY NAME in accordance with this Section of this Agreement. There are two exceptions to these provisions:

- (a) In the event YOUR MANAGMENT COMPANY NAME receives a dividend from our Worker's Compensation carrier, the dividend will not be credited to Owner. The dividend, if any, will compensate YOUR MANAGMENT COMPANY NAME for the expense of its safety programs, which results in a lower level of claims against the fund; and
- (b) YOUR MANAGMENT COMPANY NAME purchases forms and other related administrative supplies in large quantities and carries a substantial inventory in its home office. The Owner benefits from the volume discount for the printing, and YOUR MANAGMENT COMPANY NAME marks up the cost by 15% to cover its inventory carrying costs.

13. Administration and Record Keeping. YOUR MANAGMENT COMPANY NAME shall maintain complete records of all transactions relating to the Project. In addition, YOUR MANAGMENT COMPANY NAME shall prepare and maintain a filing system at its offices and on the site regarding apartment units and resident financial system at the site regarding apartment unit and resident financial information. The documents described herein shall be available for inspection by the Owner or its representatives at all reasonable times while this Agreement is in effect.

14. Reports. YOUR MANAGMENT COMPANY NAME shall, within a reasonable time after the end of the month (generally within ten (10) days from receipt of the bank statement, but no later than the 15<sup>th</sup> day of the following month), furnish the Owner with an income statement for the month immediately preceding. Among other applicable items, the information provided shall include the relevant months' gross revenues (as defined in Section 23 of this Agreement), the expenses and other charges of the Project, the compensation paid to YOUR MANAGMENT COMPANY NAME the existence and amount of funds retained in any bank accounts, and any amounts due the Owner.

15. Budgets. As soon as possible, but no later than sixty (60) days after the date of this agreement, YOUR MANAGMENT COMPANY NAME will review and deliver to the Owner for Owner's review and approval an operating budget setting forth the estimated receipts, charges, and disbursements for the current calendar year. YOUR MANAGMENT COMPANY NAME will provide to Owner a preliminary budget for the upcoming year by November 30<sup>th</sup> of

the current year. A budget that is not accepted in writing by the Owner within thirty (30) days after the delivery thereof to Owners shall be deemed not approved.

16. Use and Maintenance of the Project. YOUR MANAGMENT COMPANY NAME shall not authorize or consent to the use of the Property for any recreational purposes and uses related thereto. YOUR MANAGMENT COMPANY NAME agrees not to knowingly authorize or consent to the use of the Property for any purpose which might void any policy of insurance or which might render any loss thereunder uncollectible authorized or which would violate any governmental restriction. YOUR MANAGMENT COMPANY NAME is authorized to develop rules and regulations and community policies with respect to the use of the Property and the activities of the residents and their guests. YOUR MANAGMENT COMPANY NAME shall inform all residents and their guests. YOUR MANAGMENT COMPANY NAME shall inform all residents of the rules, regulations and community policies. YOUR MANAGMENT COMPANY NAME shall use reasonable efforts to ensure substantial compliance by the residents (and their guests) with the terms and conditions of their respective rental agreements.

17. Taxes. If Owner elects by written notice to YOUR MANAGMENT COMPANY NAME, YOUR MANAGMENT COMPANY NAME shall pay all real estate taxes and assessments to the extent that funds are available in the Project Trust Account. At least two weeks prior to the delinquency date, YOUR MANAGMENT COMPANY NAME will notify Owner if there are not sufficient funds in the Project Account to pay the taxes and/or assessments. If YOUR MANAGMENT COMPANY NAME does not receive funds necessary to make the payments at least five working days before they are delinquent, YOUR MANAGMENT COMPANY NAME will not be responsible to make such payments and will not be responsible to pay any late charges or other penalties that occur. If the Owner provides said funds and YOUR MANAGMENT COMPANY NAME does not make timely payment of taxes, then YOUR MANAGMENT COMPANY NAME shall be responsible for all penalties, interest and attorney fees.

18. Compliance with Governmental Directives. YOUR MANAGMENT COMPANY NAME shall take reasonable steps to inform the Owner of any non-compliance with building codes, sales tax, payroll tax, labor, wage and hour laws, zoning and licensing requirements, and applicable laws, actually known to YOUR MANAGMENT COMPANY NAME, where practical and reasonable to do so. With respect to the requirements of any deeds of trust, mortgages, land contracts, or other liens affecting the Project, if the Owner requests in writing, YOUR MANAGMENT COMPANY NAME will review and comment on any areas where non-compliance may exist. The costs of compliance and review by third parties shall be borne by Owner. YOUR MANAGMENT COMPANY NAME shall promptly notify Owner in writing of all orders, notices, and requirements arising incident thereto. By performing any undertaking under this Paragraph 18, including but not limited to all efforts on behalf of Owner in attempting to comply with applicable laws, YOUR MANAGMENT COMPANY NAME shall not be liable to Owner for any non-compliance, and all of YOUR MANAGMENT COMPANY NAME's activities in this regard shall be subject to the indemnification provisions of Paragraph 32 of this Agreement. YOUR MANAGMENT COMPANY NAME shall rent, lease, maintain and do all other things necessary to have the Property and its rents, leases etc. comply to all applicable government agencies.

19. Advances. Notwithstanding anything to the contrary contained in this Agreement, YOUR MANAGMENT COMPANY NAME shall not be required to advance funds or be required to incur any debt in its own name, for any purpose under any provision of this Agreement, and to the extent this Agreement authorizes or directs YOUR MANAGMENT COMPANY NAME to make any payments from the Property Trust Account but there are not sufficient funds in the Property Trust Account to make all such authorized payments, YOUR MANAGMENT COMPANY NAME shall have the right in its discretion to determine which bills or portions thereof shall be paid from the funds in the Project Trust Account. This Agreement shall not be construed as an assumption by YOUR MANAGMENT COMPANY NAME of any debt (existing or future) of Owner. Although YOUR MANAGMENT COMPANY NAME is not required to advance funds of YOUR MANAGMENT COMPANY NAME in the event YOUR MANAGMENT COMPANY NAME, in its sole discretion, makes an advance of its own funds, the advance shall bear interest at the rate of ten percent (10%) per annum from the date of the advance. YOUR MANAGMENT COMPANY NAME is hereby authorized to remove such advances and interest from the Property Trust Account, and until YOUR MANAGMENT COMPANY NAME is re-paid, such advances and interest shall constitute a lien upon the Property and all rental therefrom. Owner authorizes YOUR MANAGMENT COMPANY NAME to record a notice of lien in such event, which lien may be foreclosed in the same manner as realty mortgages under Applicable state law. If YOUR MANAGMENT COMPANY NAME engages counsel to collect any amount due YOUR MANAGMENT COMPANY NAME from Owner under this Paragraph, whether or not suit is brought, Owner shall pay the reasonable attorneys' fees and expenses of collection of YOUR MANAGMENT COMPANY NAME. Any advances by YOUR MANAGMENT COMPANY NAME will not occur without the written consent of the Owner.

20. Term of Management Agreement, Management Fee.

- a) The initial term of this Agreement shall commence \_\_\_\_\_ and shall end on the first annual anniversary date of \_\_\_\_\_. This Agreement will be automatically renewed if a written reminder notice is provided by YOUR MANAGMENT COMPANY NAME to the Owner prior to 30 days of the contract's expiration. Upon such notice being provided, the contract will automatically renew unless the Owner notifies in writing otherwise.
- b) YOUR MANAGMENT COMPANY NAME shall receive an asset management fee equal to \_\_\_\_\_% of each month's gross revenues, as defined in Section 22 of this Agreement, which amount shall be payable in advance on or by the first day of each month.
- c) Additionally, a monthly performance bonus of \_\_\_\_\_% of the gross revenues will be earned by YOUR MANAGMENT COMPANY NAME for achieving a monthly agreed upon "net operating income", which is pre-approved in the annual operating budget.
- d) See Exhibit I for a summary of services included in the asset management fee and a summary of services which are not included in the asset management fee.



g) YOUR MANAGMENT COMPANY NAME shall receive a Property set-up fee of \_\_\_\_\_ for the initial set-up and review of the following systems and procedures:

- 1) Site policy/emergency maintenance procedure
- 2) Landlord/tenant, delinquency, NSF, non-payment of rent status
- 3) Work order/replacement parts status
- 4) Arranging for YOUR MANAGMENT COMPANY NAME approved vendors to provide goods and services to the site, i.e., YOUR MANAGMENT COMPANY NAME Purchasing Book is in use.
- 5) YOUR MANAGMENT COMPANY NAME administrative forms for rent collection, payroll, invoice processing and other administrative requirements of the Project.
- 6) Accounting set up

The initial set-up and review of the systems and procedures identified above will be completed by YOUR MANAGMENT COMPANY NAME during the first month of the term of this Agreement. Owner agrees that the site set-up fee shall be deemed earned upon completion of such initial set-up and review and will be paid by the Owner at that time.

Owner agrees that YOUR MANAGMENT COMPANY NAME shall have the right to withdraw its asset management fee, marketing plan fee, and site set-up fee directly from the Property Account whenever such fees are due and payable.

21. Termination of Asset Management Agreement/Cancellation Fee.

- a) Unless there is a material breach of this Agreement, this agreement will terminate on the expiration date (see Paragraph 20 (a)). If a written notice is not received at least thirty (30) days prior to the expiration date, thus Agreement will be automatically extended for one more month. During this month, both parties must agree to a new specific term extension of this Agreement.
- b) This Agreement shall terminate, and all obligations of the parties hereunder shall cease (except as those obligations described in this paragraph 21 (b) and paragraph 21 (f), fifteen (15) days after receipt of notice by either party to the other specifying in detail a material breach of this Agreement in such breach has not been cured within said fifteen (15) day period or if such breach is of a nature that it cannot be cured within said fifteen (15) day period but can be cured such breach have not commenced and/or such efforts are not proceeding and not being continued diligently both during and after such fifteenth (15) day period to

the breach being cured. HOWEVER, the breach of any obligation of either party hereunder to pay any monies to the other party under the terms of this Agreement shall be deemed to be curable within fifteen (15) days.

- c) This agreement may be terminated, with or without cause, upon either party giving 30 days notice. If (i) Owner terminates this Agreement before the end of the initial term or any subsequent term as provided in paragraph 20 (a) for any reason other than for a breach by YOUR MANAGMENT COMPANY NAME under paragraph 21 (b) above, or if (ii) YOUR MANAGMENT COMPANY NAME terminates this Agreement for a breach by Owner, Owner shall be obligated to pay YOUR MANAGMENT COMPANY NAME a cancellation fee equal to the management fee earned by YOUR MANAGMENT COMPANY NAME as determined under paragraph 20 (b), for the calendar month immediately preceding the month in which the notice of termination is given to YOUR MANAGMENT COMPANY NAME or to Owner, or the minimum monthly asset management fee, whichever is greater, multiplied by the number of months and/or portions thereof remaining from the termination date until the end of the initial term or extended term in which the termination occurred. Such damages, plus any amounts accruing to YOUR MANAGMENT COMPANY NAME prior to such termination, shall be due and payable upon termination of this Agreement. To the extent that funds are available, such sums shall be payable from the Property Trust Account. Any amount due in excess of the funds available from the Property Trust Account shall immediately be paid by Owner to YOUR MANAGMENT COMPANY NAME upon demand.
- d) If a receiver, liquidator or trustee of Owner or YOUR MANAGMENT COMPANY NAME shall be appointed by court or a bona fide petition to reorganize Owner or YOUR MANAGMENT COMPANY NAME shall be filed against Owner or YOUR MANAGMENT COMPANY NAME under any bankruptcy, reorganization of insolvency law, or Owner or YOUR MANAGMENT COMPANY NAME shall file a petition in voluntary bankruptcy or shall request reorganization under any provision of involuntary bankruptcy, reorganization or insolvency laws, or if Owner or YOUR MANAGMENT COMPANY NAME shall make an assignment for the benefit of creditors, then termination of this Agreement shall immediately occur upon Owner or YOUR MANAGMENT COMPANY NAME, as is appropriate, delivering written notice of such termination to the other.
- e) This Agreement shall be legally binding on Owner and YOUR MANAGMENT COMPANY NAME upon its execution, notwithstanding that “the initial term” may commence at a later date from the date this agreement was originally signed (see page 1).
- f) Termination of this Agreement under any of the foregoing provisions shall not release either party from liability for failure to perform any of the

duties or obligations as expressed herein and required to be performed by such parties for the period to such termination or after such termination.

- g) Upon termination of this Agreement, YOUR MANAGMENT COMPANY NAME shall, to the extent that there are not sufficient funds in Property's Account, send a request for funds to Owner for the amount of any unpaid bills incurred by the property prior to the termination date, and it shall be the sole responsibility of Owner to pay or to provide YOUR MANAGMENT COMPANY NAME funds to pay these bills. Further, any payments for Owner's account received by YOUR MANAGMENT COMPANY NAME following cancellation or termination of this Agreement shall be forwarded in accordance with Owner's written instructions after first deducting any amounts owed YOUR MANAGMENT COMPANY NAME and/or vendors or suppliers (or to Owner's address as specified herein if no instructions are given). Owner shall immediately pay to YOUR MANAGMENT COMPANY NAME any sums to which YOUR MANAGMENT COMPANY NAME is entitled, including, without limitations, any property management, marketing plan, Project set-up, and other fees and advances (with interest at 10% per annum if said fees are delinquent) and YOUR MANAGMENT COMPANY NAME shall have the right to withdraw such fees, advances and interest directly from the Property Trust Account.
- h) Upon termination of this agreement, except if a termination occurs pursuant to the expiration of Agreement pursuant to Section 20(a) herein, each employee of the Property that is terminated must receive a minimum written notice two weeks prior to discharge or, two weeks cash salary in lieu of notice, to be paid from the Property's operating trust account. YOUR MANAGMENT COMPANY NAME will deliver the notices to the employees if YOUR MANAGMENT COMPANY NAME received notification from the new management company and/or Owner of the decision to retain or not retain current Property employees. Each employee will be paid, from the Property's operating account, a moving allowance of \$\_\_\_\_\_ per household for all employees living on the site unless such employees agreed to be retained by the new Owner or Asset Management Company. Employees living on the site will be allowed to live in their on-site apartments at no charge for a minimum of two weeks if, as part of their employment, they have been provided an apartment for their residency.
- i) A copy of the Property's financial records will be kept by YOUR MANAGMENT COMPANY NAME for three (3) years from the date of each record.

22. Definition of Gross Revenues and Operating Expenses. As used in this Agreement, the term "gross revenues" shall mean all revenues actually billed in connection with the Property (whether such revenue is attributable to periods before commencement of the initial term or not) including, but not limited to, all types of rental income, laundry, miscellaneous

income, preparation and cleaning fees, security deposit forfeitures, non-refundable deposits and pet sanitizing charges, but shall exclude refundable security and pet deposits, real estate tax refunds and monthly sales tax paid on rental units. As used in this Agreement, "operating expenses" shall mean all actual expenses incurred by or on behalf of Owner for the lease-up, operation, management, and maintenance of the Property including but not limited to (i) the cost of all utilities (to the extent not separately charged or metered to the individual tenants of the Property); (ii) the cost of any cleaning, carpet shampooing, paint vendors, etc., hired by YOUR MANAGMENT COMPANY NAME for benefit of the Property; (iii) the cost of cleaning, maintenance, and repair of the Property and its buildings, driveways, parking areas, common areas, landscaping and recreational facilities; (iv) the cost of all insurance maintained in connection with the Property; (v) all compensation and fringe benefits (including payroll taxes, insurance premiums, and other employee benefits) payable to all persons employed by YOUR MANAGMENT COMPANY NAME in connection with the Property and all costs incidental to the hiring of these employees; (vi) the cost of complying with all rules, regulations, and orders of governmental authorities; and (vii) the cost of all legal fees related to the operation of the Project.

23. Notices. All notices required or permitted to be given by either party to the other shall be in writing and shall be deemed to have been properly given and delivered when deposited in the United States mail, sent certified or registered, return receipt requested, postage prepaid, and properly addressed to the parties as follows:

If to Owner: \_\_\_\_\_  
By \_\_\_\_\_  
\_\_\_\_\_

If to Agent: \_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_  
Attention: \_\_\_\_\_

Any notice(s) shall be effective upon delivery if delivered in person and either upon actual receipt or three (3) days after mailing, whichever is earlier, if delivered by mail.

24. Modification and Construction. This Agreement may only be modified by a written document signed by both parties. This Agreement and any subsequent modifications shall be interpreted according to applicable state laws. Paragraph headings used herein are for the purpose of identification and convenience only and shall not be considered in interpreting the content and meaning of the wording contained in the paragraphs. Both parties acknowledge that this Agreement constitutes the entire understanding and agreement between them and there are no other documents with additional terms or conditions affecting this Agreement. All other agreements or understandings are superseded and merged herein, YOUR MANAGMENT

COMPANY NAME has made no warranty or representation other than expressly contained herein. Any reference to this "Agreement" shall be deemed to include all proper amendments and modifications hereto.

25. Successors. This Agreement shall inure to the benefit of, and be binding upon, the parties hereto, their legal representatives, successors and assigns; however, neither YOUR MANAGMENT COMPANY NAME, nor the Owner shall have the right to assign this Agreement without the other's prior written consent. The lender can and will be a pre-approved assignee.

26. Other Business Ventures. YOUR MANAGMENT COMPANY NAME may build, develop, manage and/or asset manage other apartment, industrial, or commercial buildings in the immediate area of the Project and Owner specifically consents to and waives any conflict of interest arising therefrom.

27. Legal fees. If a court action is necessary to enforce the terms and conditions of this Agreement, the prevailing party will be reimbursed for all reasonable legal fees and court costs by the unsuccessful party to the court action in an amount fixed and determined by a court or a jury. If, during the course of the performance of its duties as a management agent, YOUR MANAGMENT COMPANY NAME should be met with conflicting demands by Owner and by a third person, or be presented with a demand which would involve a conflict of interests with Owner, then YOUR MANAGMENT COMPANY NAME shall be entitled, at its option, to employ independent legal counsel of its selection and shall be entitled to be reimbursed for any such expense by Owner. At the request of Owner, YOUR MANAGMENT COMPANY NAME will agree to binding arbitration.

28. Owner Acknowledgement and Disclosure. Owner acknowledges that YOUR MANAGMENT COMPANY NAME is in the business of leasing and managing similar properties in the western United States and elsewhere and may be offering other properties for rent at the same time. Owner specifically consents to and waives any conflict of interest arising therefrom and agrees that no such conflict constitute cause for termination of this Agreement by Owner.

29. Authority. All parties to this Agreement warrant and represent that they have the power and authority to enter into this Agreement in the names, titles and capacities herein stated and on behalf of any entities, persons, estates or firms represented or purported to be represented by such persons, and upon request shall deliver to the other party such corporate resolutions, powers of attorney and such other documents or instruments as shall be reasonably necessary to evidence this authority. In entering upon the subject property and taking control of the rents, YOUR MANAGMENT COMPANY NAME is acting as agent for the Owner and relying upon representations by the Owner that it is lawfully entitled to take and maintain possession of the property and control of the rents being derived therefrom and entitled to take and maintain possession of items of unattached property located on the Project and utilized by Owner in conducting an apartment rental business upon the subject real property.

30. Governing Law. This Agreement is to be governed by and construed in accordance with the laws of the State of \_\_\_\_\_.

32. Indemnification. In the course of rendering the services which it is to provide under this Agreement, YOUR MANAGMENT COMPANY NAME shall be liable and bear liability only for damages occasioned by its gross negligence, intentional wrongful conduct of a criminal nature, or fraudulent acts. With respect to all other potential claims arising out of or involving YOUR MANAGMENT COMPANY NAME's acts or omissions as agent for Owner, (i) Owner shall purchase public liability and property damage insurance in amounts mutually satisfactory by the parties including both Owner and YOUR MANAGMENT COMPANY NAME as named insured; and (ii) to the extent of any liabilities not insured against, Owner shall indemnify and hold YOUR MANAGMENT COMPANY NAME harmless from any loss, damage or expense including but not necessarily limited to legal fees, court costs, litigation expenses and investigative expenses.

**BALANCE OF THIS PAGE HAS BEEN INTENTIONALLY LEFT BLANK**

IN WITNESS WHEREOF, the parties hereto have caused this Agreement to be executed the day and year first above written (see page 1).

“YOUR MANAGMENT COMPANY NAME”

\_\_\_\_\_

\_\_\_\_\_

By \_\_\_\_\_

NAME

TITLE

Date \_\_\_\_\_

“Owner”

By \_\_\_\_\_

NAME

Its TITLE

Date \_\_\_\_\_

## EXHIBIT “A”

### Scope of Asset Management Services:

- **Property Inspections** - by YOUR MANAGMENT COMPANY NAME members and Asset managers
- **Monthly owners package** by the 15<sup>th</sup> of the following month to include: Balance Sheet, and Profit and Loss and other reports as mutually agreed upon by both Owner and YOUR MANAGMENT COMPANY NAME.
- **Quarterly owners package consisting of owner distributions and financial summary by the 15<sup>th</sup> of the month following each calendar quarter.**
- **Operating Budget** - Review and approve annual operating budget for the property within 60 days of the property takeover and prior to each calendar year thereafter as set forth in Section 15.
- **Operations** - Properly and efficiently oversee the management of the Property.
- **Weekly Reporting** - Review weekly prospect/leasing status reports.
- **Marketing** - Develop and implement (upon ownership approval) a project specific marketing plan for the anticipated occupancy. Develop and maintain a market awareness of the Property.
- **Competition** - Review and analyze the sub-market with the third party management company to determine the status of competition in regards to rental rates and concessions, new developments, changes in ownership and changes in the areas infrastructure.
- **Property Tax Appeals** - Coordinate appeal with attorney or third party with regard to appeal up to a maximum of four MC Personnel hours. Attorney/appeal costs to be paid by Owner.



EXHIBIT "A" (continued)

**Expenses not covered in asset management fee & billed to property include, but are not limited to:**

- Overnight/courier service to & from the property
- Long distance telephone calls
- The cost of copies, postage and overnight mail
- Computer software and hardware support
- Travel expenses
- Employee mileage for inter city travel

**Additional YOUR MANAGMENT COMPANY NAME Services available (not included in base management fee):**

- Due diligence (including providing information necessary for due diligence)- \$\_\_ per hour
- Major remodeling & construction projects - \$\_\_ per hour
- Legal testimony for "non management" issues (Construction & Insurance) - \$\_\_per hour
- Per Phase Accounting - \$\_\_\_\_per extra phase – to be split according to percentage of ownership per phase.
- Cash Projections & Cash Management when payables pushed to over 45 days old due to lack of funds - \$\_\_ per hour
- Insurance Bidding and Placement – \_\_\_\_% of annual premium (no charge for renewals not placed out to bid.)
- Reserve Handling –three or more - \$\_\_\_\_ per hour
- Special Reporting and Analyses - \$\_\_\_\_ per hour
- One annual budget, monthly Balance Sheet, P & L, Rent Roll, Delinquency report – no charge
- Refinancing Assistance - \$\_\_\_\_ per hour
- Bankruptcy Filing/Reporting Assistance - \$\_\_\_\_ per hour
- Sales/Marketing Assistance - \$\_\_\_\_ per hour
- Any services provided prior to initial date of this agreement - \$\_\_\_\_ per hour.